Fundamentals of Human Resource Management (HRM1)

Module 9: International HRM and Careers

Lesson 1: International Human Resource Management

Lesson Notes

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The Three Staffing Models of International HRM

When a multinational corporation expands into new countries, it must decide who fills key management roles in each location. Three staffing models describe the main approaches.

The ethnocentric model fills key management positions in foreign subsidiaries with people from the home country, keeping decision making centralised at headquarters. This makes coordination and control easier, and helps transfer corporate culture consistently across locations, but it is expensive due to relocation costs, and local employees may feel undervalued if leadership roles are consistently given to outsiders rather than to them (Muratbekova-Touron, 2008).

The polycentric model instead hires and promotes local employees to manage local subsidiaries, with headquarters providing coordination and support rather than direct control. This is more cost efficient, since it avoids expensive relocation packages, and local managers bring genuine understanding of local markets, culture, and regulation, which tends to improve morale among local staff. The trade off is that decentralised decision making can create coordination challenges and inconsistent practices across different countries, and local employees may have fewer opportunities for international career growth (Briscoe, Schuler, & Tarique, 2011; Taylor, 2018).

The geocentric model selects the best person for every role regardless of nationality, building a genuinely global, integrated workforce. This approach draws on a worldwide talent pool, encouraging innovation and strong cross-cultural collaboration, and organisations using it are often seen as inclusive and progressive. However, it tends to be the most expensive model due to global recruitment and relocation costs, and requires careful management of cultural and organisational integration to ensure every employee feels genuinely included (Dowling, Festing, & Engle, 2017; Tarique, Briscoe, & Schuler, 2015; Harzing & Pinnington, 2014).

A Ugandan bank being acquired by a South African banking group might initially see South African nationals placed in senior management roles, an ethnocentric approach, before gradually shifting toward a polycentric approach as Ugandan managers demonstrate strong local market knowledge and are promoted into those same roles over time.

> ***Reflect:*** *If you were advising a growing Ugandan company opening its first office in another East African country, would you recommend an ethnocentric, polycentric, or geocentric approach for that first year, and why?*

Standardisation, Localisation, and the Glocal Approach

The global standardisation strategy means maintaining uniform HR practices, policies, and processes across all of an organisation's international operations, covering recruitment, onboarding, performance management, and compensation. This promotes efficiency, cost reduction, and a unified corporate culture, since employees anywhere in the world experience broadly similar HR treatment (Schuler & Tarique, 2020; Wright, 2004).

The difficulty is that a fully standardised approach can ignore genuine regional differences in labour law, market conditions, and cultural expectations. Pay structures, benefits, and even acceptable management styles can vary significantly between countries, and applying a single global policy without adjustment can sometimes be impractical or even unlawful in certain jurisdictions.

For this reason, many multinational organisations adopt what is often called a glocal approach, standardising HR practices where genuinely possible, such as leadership development frameworks or core company values, while allowing local adaptation where legally or culturally necessary, such as specific benefits packages or public holiday policies (Deloitte, 2020).

A multinational telecom operating in Uganda alongside several other African markets might standardise its leadership development programme and core recruitment principles across all countries, while adapting its benefits package in each country to reflect local expectations, such as extended family leave provisions that may differ from what is offered in its home market.

> ***Reflect:*** *Can you think of an HR policy that would make sense to standardise globally, and one that would almost certainly need to be adapted for the Ugandan context specifically?*

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The Real Challenges of International HRM

International HRM comes with three persistent, practical challenges. Culture and language barriers can complicate communication, teamwork, and management style, since values, attitudes, and workplace expectations genuinely differ across cultures, and policies that work well in one country may be poorly received in another (Wagner & Van Der Velden, 2022).

Legal and regulatory compliance is a constant concern, since every country has its own labour laws, tax obligations, and employment standards covering contracts, pay, and termination. Regulatory environments also change over time, requiring HR teams to stay continuously informed rather than assuming yesterday's compliance position still holds today (Oyster, 2022).

Expatriate management brings its own difficulties. Employees deployed abroad often struggle to adjust to new cultural contexts, which affects both wellbeing and performance, requiring pre-departure training, relocation support, and ongoing assistance throughout the assignment. Managing expatriate pay and benefits is also genuinely complex, often involving housing allowances, cost of living adjustments, and ensuring compliance with tax obligations in both home and host countries. Even the return home can be difficult, since expatriates sometimes find their international experience undervalued once reintegrated into the home organisation (Brewster & Mayrhofer, 2020).

A Ugandan professional posted abroad by a regional employer, and later returning home after a two year assignment, may find colleagues at home have moved into roles they might otherwise have been considered for, illustrating the very real reintegration challenge international HRM must manage, not just the outbound assignment itself.

This lesson completes the international dimension of this course. The final lesson turns from organisational and international HR practice to something more personal, building an actual career in HR.

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